ECO610 -Issues in the Economy of Pakistan

Final term Short notes by Mʀ Shāhɮāz

Module 4-Public Finance and Fiscal Policy

1. Structure of the Government

Introduction

Understanding the structure of the government is important to understand fiscal policy.

Function of Government

- The primary function of every government is to tax people to collect revenue.
- The revenue collected is used to maintain law and order, defense, infrastructure, and other social services.
- The well-defined Constitution framework outlines the nature of resource mobilization and responsibilities of different government levels.

NFC Awards and 18th Amendment

- NFC Awards is a body that divides the revenue sharing formula for divisible pool of resources between federal and provincial governments.
- The recent radical changes in Pakistan's Constitution are NFC Awards and the 18th Amendment.
- NFC Awards enhances the share of provinces in the federal divisible pool.
- The 18th Amendment abolished the concurrent list of functions performed by the government and devolved the functions to provincial governments.
- The 18th Amendment significantly enhances the range of functional responsibilities of provincial governments.

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Structure of Government

- Federation of Pakistan is governed by its Constitution, with different functions and responsibilities for federal and provincial governments.
- The federal government has exclusive responsibility for undertaking functions under the federal legislative list.
- The concurrent list includes social welfare, population planning, tourism, and education functions to be performed by either the federal or provincial government.
- Residual functions related to agriculture, irrigation, justice, and the police sector are the responsibility of provincial governments.
- The existence and resources of local governments are expected to be in check, and they are responsible for self-financing their expenditure at the local level.

Recommended Book for Detailed Understanding of Fiscal Policy and Taxation

- The speaker recommends a book for further understanding of fiscal policy and taxation.
- The book provides detailed information on the topic.

The structure of government in Pakistan It covers the following key points:

The key function of any government is to collect taxes from citizens to finance government activities like maintaining law and order, national defense, infrastructure development, and social services.

Pakistan has a defined constitutional framework that divides responsibilities between different levels of government.

Recent changes have strengthened provinces financially. The 7th NFC award in 2010 increased the provinces' share of the divisible pool of federal resources. The 18th amendment abolished the concurrent list of functions, devolving more responsibilities to provinces.

The federal government is responsible for regulatory functions and service functions like defense, external affairs, currency and banking, and transportation.

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The concurrent list included social welfare, planning, tourism and education which can be undertaken by either the federal or provincial governments.

Residual functions like agriculture, irrigation, police and justice are the responsibility of provincial governments.

Local governments were initially extensions of provincial governments but are now expected to generate their own revenues and finance their expenditures.

2. Structure of the Taxation

Introduction

This is the second video of the fourth module, Public Finance and Taxation.

- This video focuses on the structure of taxation in Pakistan.
- There are three levels of institutions involved in building up the taxation structure: legislative, executive, and judiciary.

Legislative Level

- The legislative level involves the parliament and its approval of different acts and ordinances related to taxes.
- Examples of legislation related to taxes in Pakistan include the Income Tax Act of 1922, Income Tax Ordinance of 1979, Income Tax Ordinance 2001, Sales Tax Act of 1990, and Sales Tax Act of 2005.

Executive Level

- The executive level involves tax authorities responsible for administering taxes.
- This level includes the Finance Minister, Finance Secretary, and the Federal Board of Revenue.
- Their task is to check the efficiency and effectiveness of taxes through hiring subordinates, making rules, and using different media to administer taxes.

Judiciary Level

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- The judiciary level involves interpreting tax laws and ensuring their implementation.
- Members are appointed by the federal government.

Changes to Taxation Structure

- The taxation structure changed after the 18th Amendment and NFC Awards.

- Prior to the 18th Amendment, the federal government collected taxes and duties according to the Federal Legislative List, while provincial governments delegated some of their legislative functions to local governments.
- Local governments collected residual taxes that the federal government did not collect.

Revenue Sources

- Taxation is the basic source of revenue for the government.
- Other sources of revenue include net profits and revenues from commercial departments of the government, interest on loans, return on investment, administrative departments and ministries, government fees, charges on petroleum and natural gas, and dividends earned by the government from different departments.

Types of Taxes

- There are two types of taxes in Pakistan: direct and indirect.
- Direct taxes include income tax, capital value tax, workers' welfare fund, and other types of taxes collected directly from people.
- Indirect taxes include sales tax, customs and FZE duties.

Tax Collection

- Only 7% of tax collection is done at the provincial level in Pakistan.
- The basic structure of taxation changed after the 18th Amendment.

Structure of 18th Amendment

- The structure of the 18th Amendment is the same as the structure of the TA Amendment.

NFC Awards

- The NFC Awards strengthen the provincial government regarding tax collection and revenue collection.

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Delegation of Authority and Responsibility

- The 18th Amendment delegates authority and responsibility regarding tax collection and other matters.

Key Points

Structure of Taxation in Pakistan:

1. Legislative Level:

- Legislation is done in the parliament.
- Various acts and ordinances related to taxes are approved and presented.
- Examples include the Income Tax Act of 1922, Income Tax Ordinance of 1979, Income Tax Ordinance 2001, Sales Tax Act of 1990, and Sales Tax Act of 2005.
- Legislative approval is a crucial step in shaping tax laws.

2. Executive Level:

- Tax authorities at the executive level administer and implement taxes.
- Executives are responsible for checking the efficiency and effectiveness of taxes.
- Hierarchy includes positions like Finance Minister, Finance Secretary, and the Federal Board of Revenue in Pakistan.
- Executives make rules, issue notifications, and use various means to collect taxes and administer the taxation structure.

3. Judiciary:

- The judiciary interprets tax laws and ensures their implementation.
- Members of the judiciary are appointed by the federal government.
- The role is to interpret laws related to taxation and ensure their proper implementation.

Changes Post 18th Amendment and NFC Awards:

- Prior to the 18th Amendment, the federal government collected taxes and duties.
- Provincial governments delegated some legislative functions to local governments, which collected residual taxes.
- After the 18th Amendment, there was a significant change in the taxation structure, and the provincial government gained more responsibility for tax collection.

Sources of Government Revenue:

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- Taxation remains the primary source of revenue for the government.
- Other sources include net profits and revenues from commercial departments, interest on loans, administrative fees, charges on petroleum and natural gas, and dividends earned from different government departments.

Types of Taxes:

- Two main types of taxes are direct taxes and indirect taxes.
- Direct taxes include income tax, capital value tax, workers' welfare tax, and other taxes directly collected from individuals.
- Indirect taxes include sales tax, customs and FZE duties.

Provincial Level Tax Collection:

- Post-18th Amendment, provincial-level tax collection increased significantly.
- Provincial governments have more authority and responsibility for revenue collection.

3. Issues in Taxation 1

The provided text discusses issues related to the taxation structure in Pakistan, focusing on problems at the federal level. Here's a summary:

Federal Level Taxation Issues:

1. **Low Tax-to-GDP Ratio:**

- The tax-to-GDP ratio in Pakistan has been low and stagnant, around 10-12%.
- This low ratio contributes to recurrent budget deficits.

2. **Overdependence on Indirect Taxes:**

- The federal tax system heavily relies on indirect taxes, constituting around 80% of overall tax revenue.
- This high dependence on indirect taxation is considered a problem in the taxation structure.

3. **Concentration on International Trade:**

- Indirect taxes show domination towards international trade.
- This concentration on international trade-related taxes may lead to inefficiency in resource allocation and encourage unlawful trade practices.

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4. **Narrow Tax Base and Evasion:**
   - The effective tax base is narrow, partly due to numerous tax exemptions and concessions.
   - The culture of tax evasion is prevalent, leading to further erosion of the tax base.
   - Attempts to counter evasion often result in increased tax rates, creating a cycle of erosion.

4. **Complex Tax Procedures:**

- Tax procedures and laws are complex, making it difficult for the common man to understand and implement.
- Complexity contributes to corruption and inefficiency in the taxation system.

Recommendations from World Bank:

- Strengthen Tax Base:

Suggestions were made to strengthen the tax base in Pakistan.

- Increase Share of Direct Taxes:

There is a recommendation to increase the share of direct taxes in the total tax revenue, considering the current high dependence on indirect taxes.

- Restructure Indirect Taxes:

The structure of indirect taxes in Pakistan needs to be changed to enhance resource mobilization through taxation.

- Cut Excessive Concessions and Exemptions:

The report emphasizes the need to reduce the number of concessions and exemptions provided in the current tax structure.

World Bank's Analysis for Resource Mobilization:

- Historical Context:

The World Bank's analysis was conducted in the context of structural adjustment programs and the identified challenges of resource mobilization and budget deficits.

- Key Points:

Strengthening the tax base, increasing direct tax share, restructuring indirect taxes, and cutting excessive concessions were highlighted as key areas for improvement.

Issues in Taxation 2

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Pre-1991 Situation:

1. Tax Collection Distribution:
   - 90% of tax collection was at the federal level, with only 10% distributed among provincial and local governments.
   - Provinces played a critical role in delivering basic social services despite limited revenue access.

2. Revenue Access and Deficit Financing:
    - Provinces accessed revenues from the federal divisible pool for recurring accounts.
    - Deficits were financed through grants-in-aid or loans from the federal government.

Post-1991 NFC Awards:

1. Shift in Responsibility:
    - After the 1991 NFC Awards, the federal government stopped payments to provincial governments, pushing them to self-finance their expenditures.

Issues at Provincial Level:

1. Limited Scope of Provincial Taxes:
    - Existing federal taxes left little room for provinces to introduce new taxes at the provincial level.

2. **Poor Tax Administration:**
    - Inefficient tax authorities and poor administration led to revenue deficits.

3. Inability to Access Key Areas:
    - Provinces struggled to access crucial areas of taxation, including agriculture income tax, service tax, and capital gains on immovable property.

4. **Tax Elasticity and Fiscal Effort:**
    - Tax elasticity for revenue growth remained low at the provincial level.
    - Provinces made minimal fiscal efforts due to the expectation of automatic access to ad hoc revenue deficit grants.

Diversified Resource Mobilization Strategy:

1. **Focused Measures:**
    - Provinces adopted a strategy focusing on existing taxes, removing exemptions, and expanding the tax net.

2. **Positive Impact:**
    - Implementation of these measures resulted in increased revenue for provinces.

Continuing Issues:

1. **Tax Dodgers and Vested Interests:**
    - Despite efforts, wealthy individuals in Pakistan evade taxes, often driven by powerful interests.

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- Agriculture income tax evasion is associated with influential landlord groups.

2. FBR Efforts:

- The Federal Board of Revenue (FBR) introduces amnesty schemes to address tax evasion.

- Limited provincial tax scope, poor administration, inability to access key areas, and challenges with tax elasticity are key issues.
- Provinces adopted a diversified strategy resulting in positive revenue impacts.
- Ongoing studies highlight tax evasion by affluent individuals, and the FBR introduces amnesty schemes for revenue increase.

Debt and Deficits

1. Deficit and Debt:

- Deficit: When government expenditures exceed revenues.
- Deficit leads to borrowing, and borrowing becomes the debt of the country.
- Deficit is a major economic problem in both developing and developed economies.
- Deficit harms the economy by increasing debt, leading to inflation, and crowding out investments.

2. Consequences of Deficit:

- Debt: The foremost problem associated with deficits, becoming a burden for the country.
- Inflation: Arises from various deficit financing methods.
- Crowding Out: Government deficits discourage private investment.
- Macroeconomic Implications: Strong relationship with other economic variables.

3. Deficit Financing:

- Options: Government borrows through domestic and foreign means.
- Printing New Money: A method used, but has inflationary consequences.

4. Pakistan's Situation:

- Persistent Deficit: Pakistan faces a recurring deficit in the budget.
- Resulting Debt: Creates a serious problem for the country.

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- Fiscal Pressure: Due to various domestic challenges like floods, terrorism, energy shortages.
- Limited Resources: Constrained fiscal resources complicate deficit management.

5. International Financial Institutions:

- IMF and World Bank stress on deficit elimination as a top priority.
- Structural Adjustment Programs: Address deficit as a crucial economic variable.

6. Debates on Debt:

- Views: Debt is seen as both a burden and an intergenerational equity tool.
- Public Debt Spending: Efficiency depends on how the public debt is utilized.

7. Example of the U.S.:

- U.S. Economy: World's largest debtor nation.
- Consequences: Initially inflation due to deficits, but later, deficit reduction led to economic growth.
- Varying Impacts: The relationship between deficit, debt, and economic outcomes varies across countries.

8. Pakistan's Deficit Concerns:

- Unnecessary Expenditures: Non-developmental spending contributes to deficits.
- Corruption: A factor affecting deficit and debt.
- Revenue Issues: Large tax cuts contribute to deficits.

Key's

• A budget deficit occurs when a government's expenditures exceed its revenues. It indicates the amount of borrowing the government needs to do.

• Persistent deficits are a major problem for developing economies according to IMF and World Bank. They stress eliminating deficits through policy changes.

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• Deficits lead to government debt which is a burden for the economy.

• Deficits can cause inflation through the ways governments finance deficits.

• Deficits discourage investment by crowding out private investment.

• Deficits limit funds for social services due to low revenues.

• Governments finance deficits through domestic and foreign borrowing.

• Pakistan has a persistent deficit which has led to huge debt and economic problems. Corruption and tax cuts contribute to the deficit.

• Whether debt is a burden depends on how debt funds are used. Debt repayment by future generations can create intergenerational equity if current investment benefits them.

Fiscal Deficit of Pakistan 1

1. Structural Adjustment Program (SAP) in 1980s:

- Initiated by international financial institutions.
- Key Focus: Reduction in fiscal deficit as the primary agenda.
- World Bank's View: Debt reduction essential for sustainable growth and development.

2. Importance of Fiscal Deficit Reduction:

- View of International Financial Institutions: Growth and development hindered by persistent fiscal deficit.
- 1980s Fiscal Deficit: High at 8% of GDP.
- Debt Reduction: Stressed as a major task for sustainable development.

3. Features and Problems of Pakistan's Fiscal Deficit:

- Annual Budget Deficit: Persists every year due to revenue growth lagging behind expenditure growth.
- Expenditure Categories: Current expenditures higher than developmental expenditures.
- Defense Expenditure: Historically high, contributing significantly to the fiscal deficit.
- Interest Payments: Major component of expenditures, affecting budget allocations.
- Persistent Deficit: Ongoing issue in both foreign and domestic debt.
- Domestic Debt: Higher than foreign debt, with non-bank borrowing leading to high-interest rates.
- Crowding Out Effect: High-cost non-bank borrowing discourages private investment.

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4. Trends in Fiscal Deficit (% of GDP):

- 1980s: 8% of GDP.

- 1990s: 7% of GDP.
- 2000s: 4.5% of GDP.
- 2010s: 6.2% of GDP.
- 2016: 4.6% of GDP.

5. Economic Survey of Pakistan:

- Recommended resource for understanding practical application and current fiscal development.
- Chapter 4: Fiscal Development provides insights into expenditure composition, revenue trends, etc.

Keys

• Pakistan has been facing a high fiscal deficit of around 8% of GDP since the 1980s. This has been identified as a major macroeconomic problem by international financial institutions.

• Pakistan's expenditures have been growing faster than its revenues, resulting in the persistent budget deficit.

• A large portion of Pakistan's expenditures go towards current expenditures rather than developmental expenditures.

• Defense expenditures make up a significant portion of Pakistan's budget and are higher than developmental expenditures.

• Interest payments on Pakistan's public debt make up a major component of expenditures.

• Pakistan relies more on domestic borrowing rather than foreign borrowing, and its domestic debt is higher than foreign debt. The domestic borrowing is at a high cost and crowds out investment.

• Though the fiscal deficit has reduced over time, it remains high at around 4-6% of GDP in recent decades.

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• The economic survey of Pakistan and its fiscal development chapter provide an overview of Pakistan's expenditure composition, revenue sources, and fiscal trends.

Fiscal Deficit of Pakistan 2

1. Persistent Fiscal Deficit:

- Pakistan faces a recurring budget deficit, where expenditures exceed revenues.
- The deficit leads to borrowing, contributing to macroeconomic problems.

2. IMF and World Bank Perspective:
- International lenders emphasize the importance of reducing fiscal deficit for sustainable growth.
- Despite being higher than international standards, Pakistan's deficit is considered relatively gentle.

3. Concerns and Consequences:
- Macro Problems: Inflation, crowding out of private investment, and impact on the balance of payments.
- Structural Adjustment Program: Initiated in the 1980s to focus on debt reduction and deficit elimination.

4. Sustainable Level of Deficit:
- IMF and World Bank suggest bringing down the deficit to a sustainable level (around 4% of GDP).
- Importance of maintaining an acceptable growth-to-debt ratio.

5. Critical Concerns:
- Financing the Deficit: Focus on how the deficit is financed and increasing revenue.
- Defense Spending Pattern: Observation of defense expenditure, which historically remained high.

6. Economic Performance and Unreported Economy:
- Pakistan's economy performed relatively better compared to similar economies.
- Speculation about the unreported or informal economy constituting a significant portion.

7. Governance Issues:
- Corruption: Rampant corruption at national and provincial levels affecting the efficient use of public funds.
- Unfair Political Power: Misuse of political power in budget allocation.

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8. Governance as a Critical Concern:
- Addressing governance issues crucial for reducing deficit and managing fiscal resources effectively.
- Conventional economists consider budget deficit as undesirable for economic health.

9. Fiscal Policies Critique:
- IMF and World Bank critique fiscal policies in the 1980s as a critical failure in handling deficit issues.

Summary of Discussion:

- Two-part discussion covering features, trends, and critical concerns related to Pakistan's fiscal deficit.
- Governance emerges as a key area needing improvement for effective deficit management.

Keys

- Pakistan has a persistent deficit in its budget, which is a major problem for the country's economy.
- The deficit is responsible for growing inflation and other macroeconomic problems in the country, according to international lenders IMF and World Bank.
- Pakistan is crowding out private investment due to the persistent deficit and its impact on balance of payment. The World Bank and IMF have focused on reducing debt and eliminating the deficit in Pakistan's structural adjustment program in the 1980s. The current fiscal deficit is higher than international standards but is not as harmful as other under developing economies. The deficit should be brought down to the sustainable level for long-term economic growth and development.
- Concerns related to Pakistan's fiscal deficit include financing, how public debt will be spent, and the pattern of defense spending in the past decade. The military spending in Pakistan has historically been high, indicating a need for sustainable debt repayment and debt accumulation.
- Debt repayment and accumulation should be accompanied by a reasonable debt servicing ratio to ensure sustainable growth and economic stability in the future.

Domestic and Foreign Debt Crisis 1

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1. Types and Composition of Debt:

- Pakistan faces a significant debt issue due to persistent budget and current account deficits.

- Debt is incurred for budget financing, current account deficits, and developmental projects (e.g., CPEC).

2. Total Outstanding Debt and Liabilities (June 2017):

- Total debt and liabilities equal to 79% of GDP.

- Public debt constitutes 85%, and private debt constitutes 15% of the total.

3. Composition of Debt:

- Borrowing Sources: Commercial Banks, State Bank, National Saving Scheme, Price Bonds, and International Borrowing (IMF, World Bank, Asian Development Bank).

- Debt is categorized into domestic and foreign borrowing.

4. Types of Domestic Debt:

- Floating Debt: Short-term, including cash credit and treasury bills.

- Unfunded Debt: Medium-term, targeted at the general public (national savings scheme).

- Permanent Debt: Long-term, with a time period ranging from 7 to 20 years, sourced from insurance companies and commercial banks.

5. History of Debt Crisis:

- Debt crisis in Pakistan is believed to have arisen in the 1980s.

- Despite economic growth, the crisis intensified in the 1990s due to falling revenues and political instability.

- Debt servicing became problematic, especially with the liberalization of interest rates.

6. Consequences of Debt Crisis in the 1990s:

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- Interest Rate Rise: Interest rates soared to 20%, leading to market failures.

- Decline in Developmental Spending: Developmental spending dropped from 40% to 13% of total spending.

- Rise in Interest Payments: Interest payments became a significant share of total spending, impacting development.

7. Foreign Debt Crisis:

- Foreign debt also witnessed a continuous rise, reaching more than 60% of GDP in 2001.

- International aid, particularly after 9/11, provided temporary relief.

8. 1980s vs. 1990s Comparative Analysis:

- 1980s: Comfortable debt servicing due to economic growth.

- 1990s: Falling revenues, declining economic growth, and political instability intensified the debt crisis.

9. Current Scenario:

- Thorough understanding of the types, nature, and statistics of debt is crucial to addressing the ongoing debt crisis.

- Domestic and foreign debt continues to be a significant challenge for Pakistan.

Key Points

Types of Debt:

- **Total Debt:** 79% of GDP in June 2017, consisting of public debt (85%) and private debt (15%).
- **Public Debt:** Borrowed from:
  - Domestic sources: Commercial banks, Central Bank, National Savings Scheme, bonds.
  - Foreign sources: International financial institutions (IMF, World Bank, ADB), bilateral countries.
- **Domestic Debt:**
  - **Floating:** Short-term, from commercial and central banks (cash credit, treasury bills).
  - **Unfunded:** Medium-term, targeted at the public (national savings schemes).
  - **Permanent:** Long-term (7-20 years), from insurance companies and commercial banks.

History of Debt Crisis:

- **1980s:** Debt started accumulating, but economic performance was good (rising revenues, growth).
- **1990s:** Debt became a crisis due to:
  - Falling revenues and growth rate.
  - Political instability and frequent government changes.

- Structural adjustment programs leading to high interest rates (up to 20%).

- **Consequences:**
- Reduced development spending (from 40% in 1980s to 13% in 2000s).
- Increased interest payments, hindering development.

Foreign Debt:

- Continuously rising, exceeding 60% of GDP in 2001.
- Dependence on foreign institutions for debt rescheduling

Keys

• The structure of the government has undergone changes over time with the 7th NFC awards and 18th amendment in 2010.

•The National Finance Commission determines the revenue sharing formula between the federal and provincial governments.

•Provinces were given a higher share in the federal divisible pool after the 7th NFC awards and 18th amendment devolved more functions to the provinces.

•The federal government collects most of the tax revenue while provincial governments rely on transfers from the divisible pool.

•Provincial governments face challenges in revenue mobilization due to limited tax bases and poor tax administration.

•The budget deficit or fiscal deficit refers to the difference between government revenue and expenditure.

•Pakistan's fiscal deficit has been high at around 4-8% of GDP, posing challenges like debt accumulation, inflation and lower investment.

•Both domestic and foreign debt have contributed to Pakistan's debt crisis due to factors like high budget and current account deficits, declining tax revenue and lack of fiscal discipline.

•The debt servicing costs are reducing funds available for development and other expenditures.

Module 5: Monetary Policy and Monetary Management

Introduction

An essential aspect of a country's economic policy is the development of a dynamic domestic financial sector to effectively channelize savings into potential investments for economic growth and development.

Financial Sector Development

- The financial sector of Pakistan comprises commercial banks, microfinance banks, development finance institutions, and insurance companies.
- At the time of partition in 1947, Pakistan had a limited banking sector with only 213 functioning branches.
- The State Bank of Pakistan (SBP) was established on July 1, 1948, with the authority to issue currency and establish a banking system.
- Significant growth was observed in the banking sector in the initial years, with the opening of new branches and the consolidation of the banking system.
- The nationalization of banks occurred in 1974, granting the federal government exclusive ownership and control over all banks in the country.

Islamic Financing

- Islamic financing initiatives began in the late 1970s and early 1980s, with the removal of interest from domestic financial institutions.
- Nationalized banks introduced separate counters for interest-free profit and loss-sharing deposits, along with various Islamic modes of financing.

Financial Sector Reforms

- Major reforms in the financial sector took place after the Structural Adjustment Program of 1988.
- The IMF and World Bank advocated for significant restructuring of the financial system to address existing challenges.

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Monetary Policy

- Monetary policy plays a crucial role in regulating the quantity, cost, and allocation of money and credit in the country.

- The State Bank of Pakistan has been granted autonomy in determining interest rates, although political pressure and other considerations may influence its decisions.
- Prior to financial sector reforms, the National Credit Consultative Council (NCCC) played a significant role in monetary policy management.
- Monetary management focused on controlling the volume, cost, and allocation of credit through mechanisms such as credit ceilings and annual credit plans.

Monetary Management Reforms

- Monetary management shifted towards market-based approaches following IMF recommendations.
- Reforms included the removal of distortions, determination of market-based interest rates, and the development of secondary markets for government securities.
- Instruments such as open market operations became crucial for monetary management.

Inflation Trends

- Various indices, including the Consumer Price Index (CPI) and Wholesale Price Index (WPI), are used to track inflation trends in Pakistan.
- Inflationary pressures have been influenced by factors such as supply shocks, government expenditure, tax policies, and international price movements.
- High inflation rates in the 1990s were attributed to several factors, including procurement prices, administered prices, indirect taxes, and currency devaluation.
- Inflation declined after 1998 due to factors such as reduced aggregate demand, nuclear tests, and geopolitical developments.
- However, inflation has remained a challenge in recent years, influenced by external factors, supply disruptions, and government policies.

Low Savings Rate

- Pakistan's national savings rate has been consistently low compared to other economies, attributed to factors such as low real interest rates, inflation, and underdeveloped financial sectors.
- Cultural factors, lack of access to formal financial institutions, and reliance on informal savings mechanisms also contribute to low savings rates.
- Efforts to improve savings rates include increasing real interest rates, enhancing financial sector depth, and promoting formal savings instruments.

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Sum up

Monetary policy and financial sector management are critical components of economic governance, impacting economic stability, growth, and development. Reforms aimed at improving monetary management, promoting savings, and addressing inflationary pressures are essential for sustainable economic progress in Pakistan.

Keys

• The financial sector of Pakistan comprises of commercial banks, microfinance banks, development finance institutions and insurance companies.

• The State Bank of Pakistan was established in 1948 and was assigned the responsibility of establishing a banking system in Pakistan.

• Pakistani banks were asked to expand their operations after the establishment of SBP which led to an increase in bank deposits during 1948 to 1954.

• The banking sector was nationalized in 1974 with the objective of expanding branch network and achieving socio-economic goals. However, political influence led to overstaffing of nationalized banks.

• Islamic financing modes like Musharakah, Mudarabah and Murabahah were introduced in 1981.

• Monetary policy determines the allocation of resources in different sectors of the economy. However, it has been criticized for being influenced by political and non-technical factors.

• Pakistan has a low savings rate of around 20% compared to other comparable economies which is a major hindrance to its economic growth.

• Both financial repression and underdeveloped financial structure have contributed to Pakistan's low savings rate. However, cultural factors also play a role.

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Module 6: Balance of Payment and Trade Regimes

Pakistan's Foreign Trade

Pakistan engages in bilateral and multilateral trade agreements with numerous nations and international organizations. It is a member of the World Trade Organization (WTO) and the South Asian Free Trade Area (SAFTA), and has a Free Trade Agreement with China. Fluctuations in world demand for exports, domestic political uncertainty, and occasional droughts affecting agricultural production contribute to variations in Pakistan's trade deficit.

Historical Evolution of Pakistan's Trade Policy

In the 1960s, Pakistan's foreign trade was criticized for inefficiencies in its industrial structure, with import taxes constituting a significant portion of government revenue. Trade policy is recognized as playing a critical role in a country's development trajectory, influencing its industrialization and economic growth. Over time, Pakistan's trade patterns have evolved, reflecting changes in global economic dynamics and domestic policy shifts.

- **1948/49 :** Major trading partners were India and the UK, accounting for 67% of Pakistan's trade.
- **1950s :** Shift away from dependence on India for exports and imports.
- **1951 :** Liberalization of trade, with 85% of imports being allowed without licenses.
- **1960s :** Emphasis on promoting manufactured exports through export bonus schemes and import liberalization.
- **1972-1977 :** Trade policy underwent significant changes following the separation of East Pakistan, with a focus on devaluation and the abolition of import licensing schemes.
- **1977-1988 :** Liberalization of trade, including reductions in import restrictions and non-tariff barriers.
- **1988 onwards :** Structural adjustment programs aimed at improving tariff structures, reducing banned items, and streamlining import licensing.

Impact of Trade Policy Changes

- Export promotion measures such as export rebates and concessional credit for exporters have been implemented.
- Trade liberalization has led to increased imports, shifts in tariff structures, and reductions in non-tariff barriers.
- The formation of the WTO in 1995 brought about changes in the international trade environment, influencing Pakistan's trade policies and practices.

Foreign Exchange Rate and WTO

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- Pakistan's exchange rate regime has experienced fluctuations over the years, with multiple devaluations to address economic challenges.
- The WTO, established in 1995, has played a significant role in shaping global trade dynamics, requiring member countries to reduce tariffs, eliminate quotas, and remove subsidies on exports.
- Pakistan's textile industry has been particularly impacted by WTO agreements, with opportunities for increased exports but also challenges from global competition and non-tariff barriers.

Sumup

- Pakistan's trade regime has gradually moved towards liberalization, with a reduction in controls and tariffs over time.
- Structural weaknesses in the economy continue to hinder export growth, emphasizing the need for supply-side incentives.
- While Pakistan has benefited from some aspects of globalization and WTO agreements, challenges remain in diversifying exports and addressing non-tariff barriers.

Keys

• Pakistan has bilateral and multilateral trade agreements with many nations and is a member of the World Trade Organization and South Asian Free Trade Area.

• Pakistan's foreign trade is affected by fluctuations in world demand for exports, domestic political uncertainty, and occasional droughts. This results in variation in Pakistan's trade deficit.

• In 1948/49, Pakistan's major trading partners were India and the UK, accounting for 67% of its trade. East Pakistan accounted for 80% of trade and India 50%.

• India's share of Pakistan's trade declined over the next decade as dependence on India for exports and imports reduced.

• The export bonus scheme introduced in 1959 provided exporters with more favorable exchange rates to promote manufactured goods exports.

• Liberalization of imports in the 1960s led to a bigger rise in imports than exports. Import duties were increased to reduce excess import demand.

• After the 1965 war with India, the liberalization process reversed due to foreign exchange shortages.

• After the separation from East Pakistan in 1971, Pakistan's trade regime changed significantly from the 1950s and 1960s.

• The devaluation of the rupee in 1972 and abolishment of import licensing and export bonus schemes aimed to encourage exports. However, policy remained ineffective.

• Trade liberalization policies from the late 1970s aimed to improve Pakistan's trade structure through tariff reductions, fewer banned items, and better export incentives.

• Structural adjustment programs from 1988 aimed at extensive trade policy changes and liberalization.

Module 7: Structural Adjustment Programmes (SAP)

Introduction

Structural Adjustment Programmes (SAPs) are economic reform packages offered by the International Monetary Fund (IMF) and the World Bank to countries facing economic crises.

Components of SAPs

- SAPs entail a series of economic reforms aimed at stabilizing the economy and promoting growth.
- These reforms often include measures such as reducing government spending, promoting free trade, and implementing fiscal discipline.

Perceptions and Roles

- There is a widespread perception, particularly in developing nations, that the IMF and World Bank exert significant influence over global economic policy to serve their own interests.
- In the 1970s, IMF and World Bank loans were provided with careful country analysis and stringent conditions.

Structural Adjustment Loans to Programmes

- IMF loans focus on improving the balance of payments, while World Bank loans target specific projects and sectors.
- The transition from loans to comprehensive structural adjustment programmes involves a range of economic measures.

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Composition of SAPs

- SAPs typically aim to improve the balance of payments, cut fiscal deficits, lower inflation, and increase economic growth.

- The programmes encompass six main policy areas: trade, fiscal, public enterprise, financial sector, industrial, and agriculture policies.

Implementation and Effects

- Studies on the macroeconomic effects of SAPs have yielded mixed results.
- While some countries have seen improvements in balance of payments, inflation reduction, and growth, others have experienced declines in investment and growth rates.

Criticism and Challenges

- SAPs have faced criticism for their negative effects on public investment, industrialization, and social welfare.
- Reductions in subsidies and austerity measures have often disproportionately impacted the poor, leading to social unrest.

Implementation of SAP in Pakistan

- Pakistan has implemented SAPs since 1988, significantly influencing its economic policies and performance.
- The country's adherence to IMF and World Bank conditionalities has shaped its fiscal, trade, and financial sector policies.

Achievements and Failures

- While some reforms have been successful, such as improvements in agriculture and private sector activity, others have fallen short of targets.
- Challenges remain in reducing fiscal deficits, improving external balances, and sustaining economic growth.

Political Economy of SAP

- The decision to seek IMF assistance often reflects underlying structural weaknesses in a country's economy, such as low revenue mobilization and excessive expenditure.
- Governments must address these issues rather than relying solely on external assistance, as seen in the cases of Thailand and South Korea.

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SumUp

SAPs have been a significant feature of economic policy in many developing countries, including Pakistan. While they have led to reforms in various sectors, their effectiveness and

impact remain subject to debate, highlighting the complex challenges of economic development and governance.

Keys

• Structural adjustment programs (SAPs) consist of loans provided by the International Monetary Fund (IMF) and the World Bank (WB) to countries experiencing economic crises. Recipient countries must follow a series of economic reforms to obtain the loans.

• The reforms typically include cutting government spending, promoting free trade, currency devaluation, reducing subsidies and trade tariffs.

• The IMF and World Bank are criticized for shaping economic policies to serve their own interests rather than those of developing nations.

• Pakistan's adherence to IMF and World Bank structural adjustment programs since 1988 has significantly impacted its economic policies. The programs mandated deregulation, tax increases, subsidy reductions and privatization.

• While some economic indicators improved under the programs, others like GDP growth, fiscal deficit, current account deficit and inflation saw little sustainable progress. Many argue the programs failed to significantly improve Pakistan's economy.

• Critics argue structural adjustment programs focus too heavily on macroeconomic targets while neglecting social impacts like rising poverty and inequality.

• Pakistan's economy was relatively stable before the programs began but successive governments relied on IMF loans rather than enacting difficult domestic reforms around resource mobilization and expenditure control.

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Feel free to ask me about any queries

Remember me in your prayers

☆★☆★☆**Wish you all the best**☆★☆★☆



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